

COMMITTEE ON COMMERCE
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1515
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 Strike everything after the enacting clause and insert:

2 "Section 1. Section 35-144, Arizona Revised Statutes, is amended to
3 read:

4 35-144. Budget stabilization fund; definitions

5 A. The budget stabilization fund is established consisting of
6 monies transferred from the state general fund pursuant to subsection B of
7 this section. The state treasurer shall administer the budget
8 stabilization fund, ~~and~~ invest and divest monies in the budget
9 stabilization fund as provided by sections 35-313 and 35-314.02, and
10 DEPOSIT, PURSUANT TO SECTIONS 35-146 AND 35-147, monies earned from
11 investment ~~shall be credited to the budget stabilization fund IN THE~~
12 PUBLIC SAFETY PARITY FUND ESTABLISHED BY SECTION 41-1610.02, EXCEPT THAT
13 THE FIRST \$10,000,000 GENERATED ANNUALLY SHALL REMAIN IN THE BUDGET
14 STABILIZATION FUND. Except as provided by this section:

15 1. Monies in the budget stabilization fund are exempt from the
16 provisions of section 35-190 relating to the reversion of monies to the
17 state general fund.

18 2. The monies in the fund are separate monies to be used only for
19 the purposes of the fund.

20 3. An amount sufficient to pay claims certified by the state
21 forester pursuant to section 37-1305, subsection E, paragraph 4 is
22 continuously appropriated from the fund to the state treasurer for payment
23 of the certified claims. Not more than \$20,000,000 in unreimbursed claims
24 may be outstanding from the fund at any time from the monies appropriated
25 pursuant to this paragraph.

26 B. In a calendar year in which the annual growth rate exceeds the
27 trend growth rate, the excess growth when multiplied by total general fund

1 revenue of the fiscal year ending in the calendar year determines the
2 amount to be appropriated by the legislature to the budget stabilization
3 fund in the fiscal year in which the calendar year ends.

4 C. In a calendar year in which the annual growth rate is both less
5 than two percent and less than the trend growth rate, the difference
6 between the annual growth rate and the trend growth rate when multiplied
7 by the total general fund revenue of the fiscal year ending in the
8 calendar year determines the amount to be transferred by the legislature
9 from the budget stabilization fund to the state general fund at the end of
10 the fiscal year in which the calendar year ends. The transfer calculated
11 pursuant to this subsection shall not exceed the available balance in the
12 budget stabilization fund, nor shall the legislature transfer an amount
13 that exceeds the amount sufficient to balance the state general fund
14 budget.

15 D. The legislature shall pass a bill that contains the emergency
16 clause if the legislature either:

17 1. Reduces the amount for appropriation to the budget stabilization
18 fund under subsection B of this section.

19 2. Increases the amount for transfer to the state general fund
20 under subsection C of this section.

21 E. The annual budget recommendations of the governor and the joint
22 legislative budget committee shall include estimates of appropriations or
23 transfers required under subsection B or C of this section.

24 F. A final determination of the amount to be appropriated to or
25 transferred from the budget stabilization fund shall be made using
26 personal income and price deflator estimates as reported in the second
27 calendar quarter for the preceding calendar year. The economic estimates
28 commission shall determine the annual growth rate, the trend growth rate
29 and the required appropriation to or transfer from the budget
30 stabilization fund at its first meeting following the second calendar
31 quarter report of the United States department of commerce, but not later
32 than June 1. The commission shall certify and report its findings to the
33 governor, the state treasurer, the president of the senate, the speaker of
34 the house of representatives and the joint legislative budget committee.

35 G. The appropriation calculated pursuant to subsection B of this
36 section may be included in the general appropriations bill for that fiscal
37 year. Any additional appropriation calculated pursuant to subsection F of
38 this section shall be made by a separate act.

39 H. At the end of a fiscal year, the budget stabilization fund
40 balance shall not exceed ten percent of state general fund revenue for the
41 fiscal year. Any surplus monies above ten percent shall be transferred by
42 the state treasurer to the state general fund.

43 I. The state treasurer may temporarily divest monies in the budget
44 stabilization fund to avoid a negative cash balance in operating
45 monies. The amount divested shall not exceed the amount required to meet
46 immediate cash needs. The state treasurer may divest monies in the budget

1 stabilization fund only when the state general fund has a negative cash
2 balance.

3 J. For the purposes of this section:

4 1. "Adjusted personal income" means personal income minus transfer
5 payments, as reported by the United States department of commerce, bureau
6 of economic analysis, or its successor agency.

7 2. "Annual growth rate" means the percentage change in real
8 adjusted personal income in the calendar year ending during a fiscal year
9 as compared to real adjusted personal income for the preceding calendar
10 year. The annual growth rate shall be rounded to the nearest
11 one-hundredth of one percent.

12 3. "GDP price deflator" means the gross domestic product price
13 deflator reported by the United States department of commerce, bureau of
14 economic analysis, or its successor agency.

15 4. "Personal income" means the total personal income of all persons
16 in this state reported by the United States department of commerce, bureau
17 of economic analysis, or its successor agency.

18 5. "Real adjusted personal income" means an amount that is
19 determined by dividing adjusted personal income by the GDP price deflator
20 and multiplying the result by one hundred.

21 6. "Transfer payments" means that portion of personal income that
22 represents a government expenditure for which no service is rendered or
23 product is delivered, as determined by the United States department of
24 commerce, bureau of economic analysis, or its successor agency.

25 7. "Trend growth rate" means the average annual growth rate for the
26 most recent seven calendar years, rounded to the nearest one-hundredth of
27 one percent.

28 Sec. 2. Title 41, chapter 11, article 1, Arizona Revised Statutes,
29 is amended by adding section 41-1610.02, to read:

30 41-1610.02. Public safety parity fund

31 A. THE PUBLIC SAFETY PARITY FUND IS ESTABLISHED TO PROVIDE
32 RETENTION PAY AND BENEFITS FOR EMPLOYEES FROM THE DEPARTMENT OF PUBLIC
33 SAFETY AND THE STATE DEPARTMENT OF CORRECTIONS. THE FUND CONSISTS OF
34 MONIES EARNED FROM INVESTMENT FROM THE BUDGET STABILIZATION FUND
35 ESTABLISHED BY SECTION 35-144. THE STATE DEPARTMENT OF CORRECTIONS SHALL
36 ADMINISTER THE FUND. MONIES IN THE FUND ARE SUBJECT TO LEGISLATIVE
37 APPROPRIATION.

38 B. BEGINNING JUNE 30, 2027 AND EACH FISCAL YEAR THEREAFTER, THE
39 STATE DEPARTMENT OF CORRECTIONS SHALL DEPOSIT, PURSUANT TO SECTIONS 35-146
40 AND 35-147, FORTY PERCENT OF THE MONIES DEPOSITED IN THE PUBLIC SAFETY
41 PARITY FUND ESTABLISHED BY THIS SECTION IN THE PARITY COMPENSATION FUND
42 ESTABLISHED BY SECTION 41-1720.

43 C. IN DETERMINING THE AMOUNT OF THE EXPENDITURES FROM THE FUND, THE
44 STATE DEPARTMENT OF CORRECTIONS SHALL ANNUALLY ESTABLISH AND CONSIDER
45 BENCHMARKS BASED ON THE AVERAGE TOTAL COMPENSATION FOR EACH COMPARABLE
46 CORRECTIONS PERSONNEL RANK OF THE TWO LARGEST COUNTY JAILS IN THIS STATE
47 AND THE TWO LARGEST PRIVATE PRISONS IN THIS STATE.

1 D. THE STATE DEPARTMENT OF CORRECTIONS SHALL DISTRIBUTE THE MONIES
2 IN THE FUND ON JULY 1 AND DECEMBER 31 EACH YEAR. THE STATE DEPARTMENT OF
3 CORRECTIONS MAY PROVIDE A RETENTION BONUS TO DEPARTMENT EMPLOYEES OF NOT
4 MORE THAN THREE PERCENT FROM FUND MONIES.

5 Sec. 3. Section 41-1720, Arizona Revised Statutes, is amended to
6 read:

7 41-1720. Parity compensation fund

8 A. The parity compensation fund is established consisting of monies
9 deposited pursuant to ~~section~~ SECTIONS 28-5808 AND 41-1610.02 and monies
10 appropriated by the legislature. The department shall administer the fund
11 and, considering state revenues and state employee pay adjustments, ~~the~~
12 ~~department~~ shall spend monies from the fund TO PROVIDE RETENTION PAY AND
13 BENEFITS FOR EMPLOYEES FROM THE DEPARTMENT AND for salaries and benefits
14 for law enforcement personnel that the department determines will enhance
15 the ability of the department to successfully recruit and retain qualified
16 law enforcement personnel. In determining the amount of the expenditures
17 from the fund, the department shall annually establish and consider
18 benchmarks based on the average total compensation for each comparable law
19 enforcement personnel rank of the department's three largest county or
20 municipal peer law enforcement agencies in this state. For the purposes
21 of this subsection, "total compensation" includes base salary, educational
22 incentive pay, physical performance pay, longevity pay and retirement
23 contributions made by an employer on behalf of an employee.

24 B. On notice from the department, the state treasurer shall invest
25 and divest monies in the fund as provided by section 35-313, and monies
26 earned from investment shall be credited to the fund.

27 C. Fund monies:

28 1. Do not revert to the state general fund.

29 2. Are exempt from the provisions of section 35-190 relating to
30 lapsing of appropriations.

31 3. Are subject to legislative appropriation.

32 D. THE DEPARTMENT MAY PROVIDE A RETENTION BONUS TO DEPARTMENT
33 EMPLOYEES OF NOT MORE THAN THREE PERCENT FROM MONIES DEPOSITED IN THE FUND
34 PURSUANT TO SECTION 41-1610.02."

35 Amend title to conform

And, as so amended, it do pass

JEFF WENINGER
CHAIRMAN

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